

Notes: Brogaard, Denes & Duchin (RFS, 2021)

Political Influence and the Renegotiation of Government Contracts

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1 Big picture

- **Question.** Does corporate political influence affect the terms of government procurement contracts after contracts are awarded?
- **Core answer.** Yes. Politically connected firms are substantially more likely to obtain favorable contract renegotiations. When a firm unexpectedly loses a local political connection because a politician dies or unexpectedly resigns, favorable renegotiations fall sharply.
- **Main mechanism.** The paper argues that political influence operates through *ex post contract renegotiation*. Connected firms can bid low at initiation and then use political access to renegotiate award amounts, deadlines, and monitoring features after winning.
- **Empirical setting.** The authors use detailed U.S. federal procurement-contract data from FPDS and USAspending.gov, matched to Compustat firms and FEC political contribution data from 2001 to 2012.
- **Central magnitude.** Contract renegotiations are economically large: renegotiated amounts account for \$1.9 trillion out of \$2.3 trillion in total contract dollars in the sample, and renegotiated amounts are more than four times initial awards.
- **Identification.** The causal strategy uses sudden deaths and unexpected resignations of local members of Congress as shocks to firm-politician connections. Treated contracts are those performed in locations where a firm loses a connected representative or senator; controls are connected contracts whose political links remain intact.
- **Main finding.** Losing a connection reduces the likelihood of contract improvement, award increases, length increases, extensions, and weakly monitored renegotiated amounts. The event-study estimates show no strong pre-trend and a decline after the connection loss.
- **Underbidding result.** Politically connected firms appear to bid lower initially. They receive lower initial awards conditional on contract characteristics, consistent with a strategy of winning with low bids and recovering value through later renegotiation.
- **Broader implication.** Political influence affects not only whether firms win government contracts, but also how public funds are allocated after contract signing. Procurement distortions therefore occur both ex ante and ex post.

1.1 Incremental contribution of the paper

- **Moves the political connections literature from contract allocation to contract renegotiation.** Earlier work shows that connected firms receive more government business or benefit from political ties. This paper shows that a major hidden channel is the renegotiation of already awarded contracts.
- **Uses contract-level life-cycle data.** The paper follows procurement contracts from initial award through later changes in dollar amounts, deadlines, and monitoring terms. This is more detailed than studies that observe only awards or aggregate government spending.
- **Provides causal variation in political influence.** Rather than comparing connected and unconnected firms only, the paper uses sudden deaths and unexpected resignations of politicians to create plausibly exogenous losses of connections.
- **Links ex ante bidding and ex post renegotiation.** The underbidding results connect the initial auction stage to the later renegotiation stage. This is the paper's core economic mechanism: connections may change how firms bid because they expect later renegotiation.
- **Shows relevance during crisis fiscal policy.** The ARRA evidence shows that the renegotiation channel also matters when government spending expands sharply during stimulus, making the results relevant to fiscal policy design.

- **Connects political influence to firm value.** Event-return evidence shows that markets value political connections, especially for firms that rely heavily on renegotiations. This makes the contract-level mechanism relevant for corporate finance.

2 Data and measurement

2.1 Federal procurement contracts

- The contract data come from USAspending.gov and the Federal Procurement Data System (FPDS).
- The sample begins in 2001 because reporting is incomplete before 2000 and the paper needs full contract histories.
- The authors gather pre-2000 FPDS data when needed to identify whether an observed transaction is an initial allocation or a renegotiation.
- The FPDS reports contract amount, contract duration, product-service code, contract type, place of performance, competitive bidding status, and monitoring features.
- The sample includes contracts with transaction values of at least \$3,000 and excludes categories not covered by FPDS, such as classified contracts, U.S. Postal Service contracts, and legislative/judicial branch contracts.
- Contracts are hand-matched to public firms in Compustat, yielding 5.4 million procurement contract observations from 2001 to 2012.

Interpretation: The key advantage of this data construction is that the authors observe both the initial contract and later modifications. This allows them to measure political influence in the stage where most dollars are actually allocated.

2.2 Renegotiation outcomes

- **Initial award** is the contract amount at initiation, measured in millions of dollars.
- **Contract improvement** equals one if the firm obtains either an award increase or a deadline extension after initiation.
- **Increase award** equals one if a contract's award amount rises after the original award.
- **Award change** is the dollar change in a renegotiated contract after initiation.
- **Increase length** equals one if the renegotiation increases contract duration.
- **Extension** is the total change in completion date after initiation.
- **Weak monitoring** is renegotiated contract value without incentive or performance features.

Interpretation: The outcomes separate several channels of discretion. A politically connected firm may obtain more money, more time, or weaker performance incentives. These margins are economically different, but together they measure a broader favorable-renegotiation channel.

2.3 Political connections

- Political influence is measured using firm PAC contributions to candidates for the U.S. House and Senate.
- A **connection to local representative** exists if the firm contributes to the House representative in the congressional district where the contract is performed.

- A **connection to local senator** exists if the firm contributes to a senator in the state where the contract is performed.
- **Local connections** equals one if either local representative or local senator connection is present.
- The location is the contract’s place of performance, not only the firm’s headquarters. This is important because federal contractors often perform services across many regions.

Interpretation: The local-connection definition ties political influence to the jurisdiction where the contract is performed. This is sharper than using generic firm-level political giving because contract renegotiation likely depends on the politician who can influence the relevant agency or local project.

2.4 Connection-loss events

- The paper hand-collects sudden deaths and unexpected resignations of members of Congress from CQ Press’s *Congress and the Nation* and news articles.
- The event sample covers 2001-2012.
- Each event identifies a politician whose departure unexpectedly disrupts a firm’s local political connection.
- The event window is six months before and six months after the connection loss, with the event month omitted.
- The window is truncated to stay within a two-year election cycle.

Interpretation: The deaths/resignations strategy matters because political giving is endogenous. The loss of an existing connection is plausibly unrelated to a particular firm’s contract renegotiation trajectory.

2.5 Other data and sample splits

- ARRA stimulus contracts are identified to study whether political influence mattered during the American Recovery and Reinvestment Act spending surge.
- Contract type splits distinguish cost-plus and fixed-price contracts.
- Competition equals one if a contract is available for competitive bidding.
- Firm value tests use daily stock returns around political connection-loss events and compute cumulative abnormal returns using market and three-factor models.
- Contribution intensity and prior renegotiation intensity are used to test whether firms more reliant on politics and renegotiations are more affected.

Interpretation: These additional variables turn the baseline causal result into a mechanism map: where influence matters most, when it matters, and whether investors understand its value.

3 Empirical specifications

3.1 Baseline difference-in-differences around lost political connections

The baseline specification is

$$Y_{ceijt} = \eta_{eij} + \mu_t + \beta \text{LostConnection}_{ceij} \times \text{After}_t + \varepsilon_{ceijt},$$

where Y_{ceijt} is a contract renegotiation outcome for contract c , event e , firm i , location j , and event month t .

- *LostConnection* equals one for contracts performed in locations where the firm loses a connected politician.
- *After* equals one for months after the death or unexpected resignation.
- η_{eij} are firm-event-location fixed effects.
- μ_t are event-month fixed effects.
- Standard errors are clustered at the firm-event level.

Interpretation: The coefficient β compares contract renegotiations before and after an exogenous connection loss for treated contracts, relative to contracts that remain connected in the same event time. A negative estimate means political connections increase favorable renegotiations.

3.2 Dynamic event-study specification

The dynamic specification replaces *After* with event-time indicators:

$$Y_{ceijt} = \eta_{eij} + \mu_t + \sum_{k \neq 0} \beta_k \text{LostConnection}_{ceij} \times 1\{t = k\} + \varepsilon_{ceijt}.$$

Interpretation: The leads test whether treated and control contracts were already diverging before the connection loss. The lags show whether renegotiation effects appear after the politician exits and whether the effect grows over time.

3.3 Triple-differences and mechanism tests

For heterogeneity tests, the paper estimates specifications of the form

$$Y_{ceijt} = \eta_{eij} + \mu_t + \beta_1 \text{LostConnection} \times \text{After} + \beta_2 \text{LostConnection} \times \text{After} \times Z + \text{controls} + \varepsilon_{ceijt},$$

where Z is a contract or firm characteristic such as competition, contribution intensity, or prior renegotiation reliance.

Interpretation: The interaction term identifies whether the connection-loss effect is stronger when political influence should matter more. This is central for interpreting the baseline as influence rather than generic contract disruption.

3.4 Underbidding regressions

The underbidding tests estimate whether connected firms initially bid less:

$$\text{Underbidding}_{cij} = \alpha + \beta \text{LocalConnection}_{cij} + \text{FixedEffects} + \varepsilon_{cij}.$$

Interpretation: A positive coefficient means connected firms receive lower initial awards relative to total awards and later renegotiations. This supports the strategy that political influence changes bidding incentives before the renegotiation stage.

3.5 Firm value event study

The firm-value tests estimate abnormal returns around lost connections:

$$\text{CAR}_i = \alpha + \beta \text{HighRenegotiation}_i + \text{IndustryFE} + \text{YearFE} + \varepsilon_i.$$

Interpretation: If renegotiations are valuable, equity prices should fall when a firm unexpectedly loses a political connection, especially for firms that previously depended heavily on renegotiations.

4 Identification strategy

4.1 Core identification problem

Political connections are not randomly assigned. Firms choose whether to contribute, which politicians to support, and where to perform contracts. Connected firms may differ in size, industry, political sophistication, or procurement intensity. A simple connected-versus-unconnected comparison would therefore mix political influence with selection.

4.2 Connection-loss research design

The paper addresses this problem by studying sudden deaths and unexpected resignations of connected politicians. The relevant treatment is the unexpected loss of an existing political connection in the location where a contract is performed. The identifying assumption is that these losses are unrelated to unobserved shocks to the firm's renegotiation outcomes.

4.3 Why local matching is important

A firm can have many contracts across different districts and states. The paper does not treat a firm as connected everywhere simply because it gives to politicians. Instead, it asks whether the firm is connected to the representative or senator in the contract's performance location. This design makes the treatment contract-specific and helps separate political access from general firm-level political engagement.

4.4 Treatment and control groups

- Treated contracts are contracts in locations where the firm loses a local connection.
- Control contracts are contracts of connected firms in locations where a connection remains intact.
- Contracts that enter the treatment group are not used as controls.
- Controls enter only once, around the earliest matched event.

Interpretation: The design compares similar connected contracting situations, not connected firms to completely nonpolitical firms. This raises the credibility of the counterfactual.

4.5 Fixed effects and timing controls

Firm-event-location fixed effects absorb all time-invariant differences across each firm-event-location cell: product mix, local government exposure, agency relationships, and baseline political strategy. Event-month fixed effects absorb aggregate time patterns around the event. The remaining variation is whether a particular connected contract loses the relevant politician before versus after the event.

4.6 Pre-trend and robustness evidence

The dynamic event-study shows no strong systematic pre-trends before the connection loss and sharp declines after the event. Robustness tests focus on deaths only, exclude major industries, exclude the largest

contracts, change event windows, and compare connected and unconnected firms. These tests directly address anticipation, industry concentration, outliers, and broad local shocks.

4.7 Threats and interpretation limits

- Sudden resignations may be less random than deaths, so the death-only tests are important.
- Politicians may retain influence after resignation, which would attenuate estimates.
- Firms may have multiple political ties, so a single connection loss may understate the full value of political networks.
- Contract renegotiations may reflect legitimate adaptation to project complexity; the paper’s design identifies whether political influence changes those renegotiations, not whether every renegotiation is wasteful.
- The sample covers Compustat firms and federal procurement, so results may not map one-to-one to small private contractors or state/local procurement.

5 Tables and figures

5.1 Table 1: Summary statistics and Table 2: Contract renegotiations

Read:

- Table 1 shows that the average initial contract award is only \$0.099 million, while 10.9% of contracts are favorably renegotiated.
- Conditional on renegotiation, the average award change is \$0.826 million, about eight times the average initial award.
- About 29.4% of contracts are performed in a location where the firm has a local political connection.
- Table 2 shows that renegotiations account for \$1.854 trillion compared with \$427 billion at initiation.
- Among large contracts, renegotiated amounts are \$1.163 trillion, and most renegotiated capital is associated with connected firms.

Interpretation: These tables establish the paper’s motivation. If one studies only initial awards, one misses the largest part of public fund allocation. The politically relevant action is not just winning contracts, but changing their terms later.

Economic message: Renegotiations are a central fiscal allocation mechanism, and politically connected firms are disproportionately present in that mechanism.

Table 1
Summary statistics

A. Contracts

Variable	Number of observations	Mean	Minimum	Maximum	Standard deviation
Initial award	5,404,401	0.099	0.000	11,110.073	6.523
Contract improvement	5,404,401	0.109	0.000	1.000	0.312
Increase award	5,404,401	0.092	0.000	1.000	0.289
Award change	729,867	0.826	-0.579	1,430.982	9.969
Increase length	5,404,401	0.086	0.000	1.000	0.281
Extension	729,867	1.279	-1.959	17.584	2.588
Weak monitoring	729,867	0.368	-0.450	697.034	4.053

B. Industry composition

Industry	Number of contracts	Average contract amount	Maximum contract amount	Standard deviation of contract amount	Total contract amount
Consumer	2,322,014	76	5,849,596	5,982	176,974,437
Manufacturing	1,109,355	959	29,005,528	62,951	1,064,156,547
High Tech	995,347	667	6,667,473	22,120	663,529,780
Healthcare	658,249	49	1,327,660	5,051	32,566,943
Other	319,436	1,075	23,422,850	65,996	343,462,582

C. Political influence

Variable	Number of observations	Mean	Minimum	Maximum	Standard deviation
Connections to local representative	5,404,401	0.155	0.000	1.000	0.362
Connections to local senator	5,404,401	0.275	0.000	1.000	0.446
Local connections	5,404,401	0.294	0.000	1.000	0.456

This table provides summary statistics for contracts from the U.S. federal government to all firms in Compustat from 2001 to 2012. Panel A summarizes the sample of contracts at initiation and during renegotiation, panel B decomposes contracts by industry, and panel C details political influence. In panel A, *Initial award* is the contract amount at initiation (in millions of dollars). *Contract improvement* is an indicator variable equaling one if a firm renegotiates a contract for an increase in its award or an extension. *Increase award* is an indicator variable equaling one if a firm receives an increase in a contract's award after its initiation. *Award change* is the change in the award amount of a renegotiated contract, winsorized at the 1% level in each tail, after its initial award (in millions of dollars). *Increase length* is an indicator variable equaling one if a firm renegotiates a contract for an extension. *Extension* is the total change in the completion date of a renegotiated contract after its initiation, winsorized at the 1% level in each tail (in years). *Weak monitoring* is the contract amount awarded if there are no incentive or performance features, winsorized at the 1% level in each tail, after its initial award (in millions of dollars). In panel B, *Average contract amount* is the mean contract total award (in thousands of dollars) by industry, *Maximum contract amount* is the maximum contract total award (in thousands of dollars) by industry, *Standard deviation of contract amount* is the standard deviation of the contract total award (in thousands of dollars), and *Total contracts value* is the sum of contract awards to the industry (in thousands of dollars). In panel C, *Connection to local representative* is an indicator variable equaling one if a firm is connected to a U.S. representative in the congressional district where the contract is performed. *Connection to local senator* is an indicator variable equaling one if a firm is connected to a U.S. senator in the state where the contract is performed. *Local connections* is an indicator variable equaling one if *Connection to local representative* or *Connection to*

Table 2
Contract renegotiations

A. All contracts

Variable	Initial	Renegotiated	Multiple	Connected	Unconnected
Amount (\$ billions)	427.111	1,853.580	4.340	1,417.495	436.085
Length (in years)	0.241	1.843	7.647	2.770	0.842
Weak monitoring (\$ billions)	328.365	831.832	2.533	588.654	243.178

B. Large contracts

Variable	Initial	Renegotiated	Multiple	Connected	Unconnected
Amount (\$ billions)	297.738	1,162.980	3.906	956.287	206.694
Length (in years)	1.377	1.600	1.162	2.047	1.024
Weak monitoring (\$ billions)	214.716	454.750	2.118	358.207	96.543

This table highlights the extent of renegotiations for procurement contracts from the U.S. federal government to all firms in Compustat from 2001 to 2012. Panel A includes all contracts and panel B subsets to large contracts, which are defined as the 1% largest contracts based on the total amount awarded. *Amount* is the total contract amount awarded (in billions of dollars). *Length* is the average length of the contract at initiation or the average extension during renegotiation (in years). *Weak monitoring* is the total contract amount awarded if there are no incentive or performance features (in billions of dollars). *Initial* is the contract term at initiation. *Renegotiated* is the change in the contract term after its initial signing. *Multiple* is the contract term during renegotiation relative to the contract term at initiation. *Connected* reports renegotiated values if a firm that a contract is awarded to is connected to a U.S. representative or senator where the contract is performed. *Unconnected* reports renegotiated values if a firm that a contract is awarded to is not connected to a U.S. representative or senator where the contract is performed. Table A.1 provides additional details on variable definitions.

(a) Table 1: Summary statistics

(b) Table 2: Contract renegotiations

5.2 Figure 1: Renegotiation frequency and Figure 2: Dynamic difference-in-differences

Read:

- Figure 1 shows that renegotiation frequency rises monotonically with initial award size.
- Figure 2 plots the event-study coefficients around the loss of a political connection.
- The post-event coefficients become negative for contract improvement, award increase, length increase, extension, and weak monitoring.
- The timing is concentrated after the connection loss rather than before it.

Interpretation: Figure 1 shows why large contracts matter: larger projects give more room for renegotiation. Figure 2 supplies the visual identification evidence: the treatment effect appears after an exogenous loss of political access.

Economic message: The two figures together show that renegotiation is both economically important and politically sensitive.

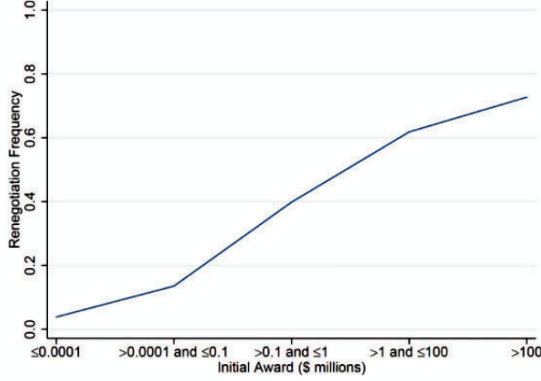


Figure 1
Renegotiation frequency
This figure reports the likelihood of contract renegotiations based on the size of the initial award. The sample includes contracts from the U.S. federal government to all firms in Compustat from 2001 to 2012. A renegotiation is defined as a change in a contract's award amount or deadline. *Initial award* is the contract amount at initiation (in millions of dollars).

(a) Figure 1: Renegotiation frequency

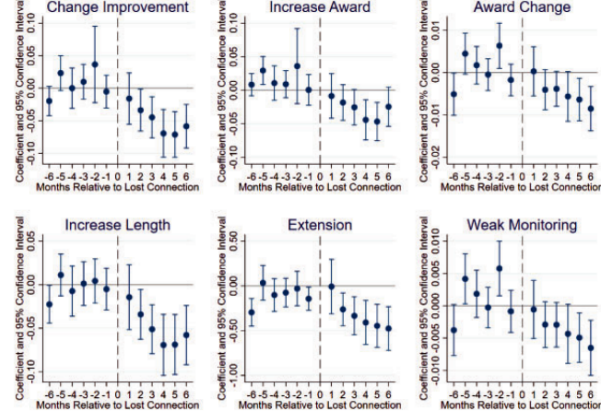


Figure 2
Contract renegotiation and political influence: Dynamic difference-in-differences
This figure plots the dynamics of the difference-in-differences estimates in panel B of Table 4. We estimate the baseline specification in Equation (1) and examine the difference-in-differences effects for the six months before and after the sudden death or unexpected resignation of a political connection. The month of the lost connection is the base month. Each panel of this figure includes the estimated coefficients and the associated 95% confidence intervals.

(b) Figure 2: Dynamic difference-in-differences

5.3 Table 3: Univariate evidence and Table 4: Difference-in-differences regression evidence

Read:

- Table 3 shows that connected contracts have larger initial awards and much higher renegotiation rates than unconnected contracts.
- In the full sample, connected contracts are 14 percentage points more likely to improve through renegotiation.
- Table 4 reports the main DiD estimates. Losing a connection reduces contract improvement by 5.2 percentage points, award increases by 4.1 percentage points, and deadline increases by 4.3 percentage points.
- Extensions fall by about 0.191 years and weakly monitored renegotiated amounts fall significantly.

Interpretation: Table 3 is descriptive and cannot establish causality, but it shows the direction and scale of the connected-versus-unconnected gap. Table 4 uses exogenous connection losses and fixed effects to show that political influence has a causal role in renegotiations.

Economic message: Political connections are not just correlated with better contracts; losing them causally reduces favorable ex post contract changes.

Table 3
Contract renegotiations and political influence: Univariate evidence

A. All contracts					
Variable	Total observations	Connected	Unconnected	Difference	
Initial award	5,404,401	0.208	0.054	0.154***	
Contract improvement	5,404,401	0.208	0.068	0.140***	
Increase award	5,404,401	0.188	0.053	0.135***	
Award change	5,404,401	0.295	0.035	0.260***	
Increase length	5,404,401	0.180	0.047	0.133***	
Extension	5,404,401	0.443	0.060	0.383***	
Weak monitoring	5,404,401	0.005	0.001	0.004***	
B. Large contracts					
Variable	Total observations	Connected	Unconnected	Difference	
Initial award	54,044	8.239	4.340	3.899***	
Contract improvement	54,044	0.612	0.481	0.131***	
Increase award	54,044	0.550	0.429	0.122***	
Award change	54,044	7.240	2.213	5.026***	
Increase length	54,044	0.486	0.321	0.165***	
Extension	54,044	1.032	0.496	0.536***	
Weak monitoring	54,044	2.730	1.114	1.616***	
C. Industries					
Variable	Consumer	Manufacturing	High Tech	Healthcare	Other
Initial award	0.056***	0.368***	0.216***	0.016***	0.037***
Contract improvement	0.206***	0.145***	0.147***	0.007***	0.012***
Increase award	0.210***	0.130***	0.131***	0.006***	0.015***
Award change	0.034***	0.493***	0.541***	0.003***	0.374***
Increase length	0.206***	0.131***	0.129***	0.005***	0.033***
Extension	0.655***	0.327***	0.275***	0.013***	0.247***
Weak monitoring	< 0.001***	0.009***	0.013***	< 0.001**	0.003***
Total observations	2,322,014	1,109,355	995,347	658,249	319,436
D. Firm size quintiles					
Firm size quintile					
Variable	1 (Smallest)	2	3	4	5 (Largest)
Initial award	0.127**	0.069**	0.583***	0.098***	0.151***
Contract improvement	0.298***	0.419***	0.250***	0.065***	0.144***
Increase award	0.170***	0.336***	0.216***	0.055***	0.138***
Award change	0.264***	0.961***	0.835***	0.190***	0.262***
Increase length	0.306***	0.385***	0.219***	0.054***	0.138***
Extension	1.218***	1.334***	0.861***	0.110***	0.392***
Weak monitoring	−0.001***	0.027***	0.009***	0.006***	0.005***

This table reports difference in means estimates for contract allocation and renegotiation. Panel A provides estimates for the full sample of contracts. Panel B focuses on large contracts, which are defined as the 1% largest contracts based on the total amount awarded. Panel C compares renegotiated amounts for connected and unconnected firms by industry. Panel D provides the difference in means estimates across firm size quintiles. Contract variables are defined in Table A.1. *Connected* and *Unconnected* are determined by whether or not a firm that is awarded a contract is connected to a U.S. representative or senator where the contract is performed. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

(a) Table 3: Contract renegotiations and political influence - univariate evidence

Table 4
Contract renegotiations and political influence: Regression evidence

Dependent variable	Contract improvement	Increase award	Award change	Increase length	Extension	Weak monitoring
Model	(1)	(2)	(3)	(4)	(5)	(6)
<i>A. Difference-in-differences</i>						
Lost connection X After	-0.052*** (0.009)	-0.041*** (0.007)	-0.005*** (0.001)	-0.043*** (0.008)	-0.191*** (0.054)	-0.005*** (0.001)
Firm-event-region fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Event-time fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
R ²	0.033	0.03	0.056	0.034	0.05	0.052
Observations	2,182,536	2,182,536	2,182,536	2,182,536	2,182,536	2,182,536
Sample mean	0.105	0.086	0.009	0.093	0.506	0.008
<i>B. Dynamic difference-in-differences</i>						
Lost connection X Month($t-3$)	0.002 (0.012)	0.016* (0.009)	0.000 (0.002)	-0.006 (0.011)	-0.118 (0.083)	0.001 (0.002)
Lost connection X Month($t-3$)	0.010 (0.014)	0.009 (0.010)	-0.000 (0.002)	0.001 (0.013)	-0.075 (0.086)	-0.000 (0.002)
Lost connection X Month($t-2$)	0.037 (0.030)	0.036 (0.028)	0.006** (0.003)	0.004 (0.013)	-0.029 (0.102)	0.006*** (0.002)
Lost connection X Month($t-1$)	-0.005 (0.013)	0.000 (0.012)	-0.002 (0.002)	-0.005 (0.012)	-0.143** (0.066)	-0.001 (0.002)
Lost connection X Month($t+1$)	-0.016 (0.019)	-0.009 (0.016)	0.000 (0.003)	-0.014 (0.018)	-0.007 (0.153)	-0.001 (0.002)
Lost connection X Month($t+2$)	-0.034** (0.015)	-0.018 (0.013)	-0.004* (0.002)	-0.034** (0.013)	-0.262*** (0.087)	-0.003 (0.002)
Lost connection X Month($t+3$)	-0.045*** (0.015)	-0.025** (0.013)	-0.004* (0.002)	-0.051*** (0.013)	-0.334*** (0.100)	-0.003* (0.002)
Lost connection X Month($t+3$)	-0.066*** (0.015)	-0.039*** (0.012)	-0.007*** (0.002)	-0.065*** (0.014)	-0.443*** (0.100)	-0.005*** (0.002)
Firm-event-region fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Event-time fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
R ²	0.031	0.028	0.054	0.032	0.048	0.051
Observations	2,393,804	2,393,804	2,393,804	2,393,804	2,393,804	2,393,804
Sample mean	0.106	0.086	0.009	0.093	0.503	0.008

This table examines how political influence affects the renegotiation of contracts awarded by the U.S. federal government. Panel A provides difference-in-differences estimates. Panel B reports the dynamics of these estimates over the six months before and after the sudden death or unexpected resignation of a connected politician, where the month of lost connection is the base month. *Lost connection* is an indicator variable equaling one if a firm is connected to a U.S. representative or senator in a congressional district or state, respectively, where the contract is performed and this connection is lost due to the politician's death or unexpected resignation. *Contract improvement* is an indicator variable equaling one if a firm renegotiates a contract for an increase in its award or an extension. *Increase award* is an indicator variable equaling one if a firm receives an increase in its contract after its initial award. *Award change* is the change in the award amount of a contract, winsorized at the 1% level in each tail, after its initial award (in millions of dollars). *Increase length* is an indicator variable equaling one if a firm renegotiates a contract for an extension. *Extension* is the total change in the contract completion date after its initiation, winsorized at the 1% level in each tail (in years). *Weak monitoring* is the contract amount awarded if there are no incentive or performance features, winsorized at the 1% level in each tail, after its initial award (in millions of dollars). The sample includes all contracts to connected firms that lose a connection. The event window is six months before and after a connection is lost. Table A.1 provides additional details on variable definitions. All models include firm-event-region and event-time fixed effects, and an intercept term. Standard errors are reported in parentheses and clustered at the firm-event level. ***, **, and * denote significance at 1%, 5%, and 10%, respectively.

(b) Table 4: Contract renegotiations and political influence - regression evidence

5.4 Table 5: Robustness and Table 6: Powerful politicians

Read:

- Table 5 shows that the baseline results survive restricting to deaths, excluding major industries, excluding top contracts, changing the event window, and using connected-versus-unconnected triple differences.
- Table 6 shows that effects are much larger when the lost politician is powerful, defined by key congressional oversight and budgetary committee roles.
- For powerful politicians, losing a connection reduces contract improvement by more than 50% of the sample mean.

Interpretation: Robustness tests reduce concerns that the result is driven by anticipation, outliers, or industry composition. The powerful-politician heterogeneity links the effect to political capacity: losing a more influential politician hurts more.

Economic message: The channel is strongest where political access has the most leverage over agencies and budgets.

Table 5
Robustness

Dependent variable	Contract improvement	Increase award	Award change	Increase length	Extension	Weak monitoring
Model	(1)	(2)	(3)	(4)	(5)	(6)
<i>A. Subsample evidence</i>						
Connections lost due to death	-0.042*** (0.009)	-0.032*** (0.009)	-0.005*** (0.001)	-0.036*** (0.009)	-0.172** (0.077)	-0.004*** (0.001)
Excluding Manufacturing and High Tech industries	-0.034** (0.013)	-0.025** (0.011)	-0.003*** (0.001)	-0.028** (0.011)	-0.139** (0.066)	-0.003*** (0.001)
Excluding top 5% of contracts	-0.052*** (0.009)	-0.041*** (0.007)	-0.004*** (0.001)	-0.041*** (0.008)	-0.154*** (0.048)	-0.004*** (0.001)
Excluding top 1% of contracts	-0.052*** (0.009)	-0.040*** (0.007)	-0.005*** (0.001)	-0.042*** (0.008)	-0.178*** (0.053)	-0.004*** (0.001)
Dropping events within 6 months of election cycle	-0.050*** (0.009)	-0.038*** (0.007)	-0.005*** (0.001)	-0.042*** (0.008)	-0.197*** (0.058)	-0.004*** (0.001)
Event windows of 3 months around lost connection	-0.049** (0.022)	-0.038** (0.018)	-0.008** (0.004)	-0.037** (0.018)	-0.138 (0.140)	-0.008*** (0.003)
Event windows of 12 months around lost connection	-0.033*** (0.008)	-0.024*** (0.007)	-0.002*** (0.001)	-0.023*** (0.007)	-0.064 (0.041)	-0.002*** (0.000)
<i>B. Connected and unconnected firms</i>						
Lost politician X	-0.174*** (0.013)	-0.148*** (0.015)	-0.012*** (0.002)	-0.151*** (0.013)	-0.583*** (0.071)	-0.010*** (0.002)
After X Connected	0.021** (0.009)	0.012 (0.011)	0.003* (0.002)	0.013 (0.009)	0.022 (0.051)	0.003* (0.001)
Connected	Absorbed (0.061***)	Absorbed (0.062***)	Absorbed (0.004***)	Absorbed (0.057***)	Absorbed (0.311***)	Absorbed (0.003***)
After X Connected	0.005 (0.005)	0.006 (0.006)	0.000 (0.000)	0.005 (0.005)	0.026 (0.026)	0.000 (0.000)
Lost politician X Connected	Absorbed	Absorbed	Absorbed	Absorbed	Absorbed	Absorbed
Firm-event-region fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Event-time fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
R ²	0.062	0.064	0.072	0.070	0.079	0.070
Observations	10,429,844	10,429,844	10,429,844	10,429,844	10,429,844	10,429,844

This table explores the robustness of the effects of political influence on the renegotiation of procurement contracts. Panel A provides subsample regression estimates. For brevity, it reports only the coefficient on the interaction term *Lost connection* $\times$ *After*. Panel B compares between connected and unconnected firms around the deaths and resignations of local politicians. All variables are defined in Table A.1. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

(a) Table 5: Robustness

Table 6
Powerful politicians

Dependent variable	Contract improvement	Increase award	Award change	Increase length	Extension	Weak monitoring
Model	(1)	(2)	(3)	(4)	(5)	(6)
<i>A. Powerful politicians</i>						
Lost connection X After	-0.547*** (0.017)	-0.472*** (0.013)	-0.731*** (0.002)	-0.513*** (0.015)	-0.431** (0.096)	-0.855*** (0.002)
Firm-event-region fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Event-time fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
R ²	0.029	0.026	0.051	0.030	0.039	0.046
Observations	1,259,706	1,259,706	1,259,706	1,259,706	1,259,706	1,259,706
<i>B. Not-powerful politicians</i>						
Lost connection X After	-0.420*** (0.014)	-0.512*** (0.012)	-0.324** (0.002)	-0.335*** (0.012)	-0.295** (0.075)	-0.386*** (0.001)
Firm-event-region fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Event-time fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
R ²	0.039	0.035	0.056	0.040	0.060	0.053
Observations	922,830	922,830	922,830	922,830	922,830	922,830

This table examines the role of powerful politicians in the renegotiation of government contracts. Panel A subsets the sample to powerful politicians that serve on key congressional oversight and budgetary committees. Panel B subsets the sample to other politicians that do not serve on these key committees. All variables are defined in Table A.1. The sample includes all contracts to connected firms that lose a connection. The event window is six months before and after (excluding the event month) a connection is lost. All models include firm-event-region and event-time fixed effects, and an intercept term. The reported estimates are scaled by the mean of the dependent variable. Hence, the interpretation of each measure is the change in contract renegotiations relative to the sample-mean level of contract renegotiations. The standard errors are based on the unscaled measures. They are reported in parentheses and clustered at the firm-event level. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

(b) Table 6: Powerful politicians

5.5 Table 7: Underbidding and Table 8: The American Recovery and Reinvestment Act of 2009

Read:

- Table 7 shows that local connections are associated with lower initial bids relative to total award amounts and renegotiations.
- Lost-connection estimates also imply that political access is linked to the ability to bid low and later renegotiate.
- Table 8 shows that political connections also matter for ARRA stimulus contracts, with connected firms more likely to renegotiate stimulus awards and deadlines.
- The effects remain positive for routine contracts, but the stimulus evidence highlights the channel during sudden expansions in public spending.

Interpretation: Table 7 connects the ex post renegotiation channel to ex ante bidding strategy. Table 8 shows that the same political mechanism operates when government spending increases quickly and agencies allocate emergency fiscal stimulus.

Economic message: Political influence can distort both the auction price and the ultimate public cost of the project.

Table 7
Underbidding

Model	(1)	(2)	(3)	(4)
<i>A. Local connections</i>				
Local connections	0.055*** (0.018)	0.035*** (0.012)	0.031*** (0.010)	0.029*** (0.010)
Year fixed effects	Yes	Yes	Yes	Yes
Product fixed effects	No	Yes	Yes	Yes
Industry fixed effects	No	No	Yes	Yes
Contract-type fixed effects	No	No	No	Yes
R ²	0.077	0.130	0.148	0.158
Observations	5,184,700	5,184,700	5,184,700	5,184,700
Sample mean	0.054	0.054	0.054	0.054
<i>B. Lost connections</i>				
Lost connection X After	-0.034*** (0.003)	-0.033*** (0.003)	-0.033*** (0.003)	-0.032*** (0.003)
Firm-region fixed effects	Yes	Yes	Yes	Yes
Month fixed effects	Yes	Yes	Yes	Yes
Product fixed effects	No	Yes	Yes	Yes
Industry fixed effects	No	No	Yes	Yes
Contract-type fixed effects	No	No	No	Yes
R ²	0.400	0.407	0.407	0.414
Observations	5,178,245	5,178,245	5,178,245	5,178,245
Sample mean	0.054	0.054	0.054	0.054
<i>C. Connected and unconnected firms</i>				
Lost politician X After	-0.029*** (0.003)	-0.028*** (0.003)	-0.028*** (0.003)	-0.027*** (0.003)
X Connected				
Lost politician X After	0.036*** (0.004)	0.035*** (0.004)	0.035*** (0.004)	0.035*** (0.0043)
Firm-region fixed effects	Yes	Yes	Yes	Yes
Month fixed effects	Yes	Yes	Yes	Yes
Product fixed effects	No	Yes	Yes	Yes
Industry fixed effects	No	No	Yes	Yes
Contract-type fixed effects	No	No	No	Yes
R ²	0.401	0.408	0.408	0.414
Observations	5,178,245	5,178,245	5,178,245	5,178,245
Sample mean	0.054	0.054	0.054	0.054

This table studies the role of political influence in underbidding for government contracts. Panel A provides sample-wide estimates for all connections to local politicians. Panel B provides estimates for connections lost due to the death or unexpected resignation of a local politician. Panel C compares connected and unconnected

(a) Table 7: Underbidding

Table 8
The American Recovery and Reinvestment Act of 2009

Dependent variable	Contract improvement	Increase award	Award change	Increase length	Extension	Weak monitoring
Model	(1)	(2)	(3)	(4)	(5)	(6)
<i>A. Stimulus estimates</i>						
Local connections	0.023** (0.010)	0.027** (0.011)	0.138* (0.077)	0.019** (0.009)	0.059** (0.026)	0.017* (0.010)
Firm fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Year fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
R ²	0.273	0.286	0.043	0.236	0.289	0.062
Observations	212,692	212,692	212,692	212,692	212,692	212,692
Sample mean	0.035	0.025	0.054	0.024	0.062	0.012
<i>B. Non-stimulus estimates</i>						
Local connections	0.072*** (0.022)	0.066*** (0.019)	0.088 (0.057)	0.064*** (0.020)	0.094*** (0.031)	0.015** (0.006)
Firm fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Year fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
R ²	0.207	0.198	0.022	0.189	0.172	0.022
Observations	306,110	306,110	306,110	306,110	306,110	306,110
Sample mean	0.140	0.107	0.066	0.105	0.105	0.015

This table examines the role of political influence on the renegotiation of contracts awarded through the American Recovery and Reinvestment Act of 2009. Panel A details the estimates for stimulus contracts, and panel B reports the estimates for nonstimulus contracts awarded to firms winning stimulus contracts at the same time. *Local connections* is an indicator variable equaling one if a firm is connected to a U.S. representative or senator in the congressional district or state, respectively, where the contract is performed. Contract variables are defined in Table A.1. All models include firm and year fixed effects, and an intercept term. Standard errors are reported in parentheses and clustered at the firm-event level. ***, **, and * denote significance at the 1%, 5%, and 10%

(b) Table 8: American Recovery and Reinvestment Act

5.6 Table 9: Contract type and Table 10: Competition

Read:

- Table 9 shows that political influence matters for both cost-plus and fixed-price contracts.
- Effects are especially large for cost-plus contracts, but the fixed-price results show that the channel is not confined to contracts designed for frequent adaptation.
- Table 10 shows that competition at the initial bidding stage partly mitigates the effect of political influence, but does not eliminate the baseline connection-loss effect.
- Competition may lower ex ante distortions, yet firms with influence can still use renegotiation after the award.

Interpretation: These tables address two alternative explanations. If the effect were only mechanical flexibility, it would appear only in cost-plus contracts. If competition fully solved the problem, it would vanish in competitive contracts. Neither is true.

Economic message: Ex post political influence partially undoes the disciplining role of formal contract design and competitive procurement.

Table 9
Contract type

Dependent variable	Contract improvement	Increase award	Award change	Increase length	Extension	Weak monitoring
Model	(1)	(2)	(3)	(4)	(5)	(6)
<i>A. Cost-plus contracts</i>						
Lost connection X After	-0.081*** (0.012)	-0.057*** (0.011)	-0.016*** (0.003)	-0.064*** (0.012)	-0.479*** (0.095)	-0.014*** (0.003)
Firm-event-region fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Event-time fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
R ²	0.067	0.065	0.074	0.065	0.081	0.074
Observations	256,426	256,426	256,426	256,426	256,426	256,426
Sample mean	0.150	0.102	0.029	0.127	0.938	0.025
<i>B. Fixed-price contracts</i>						
Lost connection X After	-0.046*** (0.010)	-0.038*** (0.009)	-0.003** (0.001)	-0.037*** (0.009)	-0.130** (0.060)	-0.003*** (0.001)
Firm-event-region fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Event-time fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
R ²	0.027	0.028	0.048	0.029	0.04	0.044
Observations	1,794,080	1,794,080	1,794,080	1,794,080	1,794,080	1,794,080
Sample mean	0.098	0.083	0.006	0.088	0.438	0.005

This table studies contract type and the role of political influence on the renegotiation of contracts from the U.S. federal government. Panel A provides the estimates for cost-plus contracts, and panel B details the estimates for fixed-price contracts. *Lost connection* is an indicator variable equaling one if a firm is connected to a U.S. representative or senator in a congressional district or state, respectively, where the contract is performed and this connection is lost due to the politician's death or unexpected resignation. Contract variables are defined in Table A.1. For panel A, the sample includes cost-plus contracts for connected firms that lose a connection. For panel B, the sample includes fixed-price contracts for connected firms that lose a connection. The event window is

(a) Table 9: Contract type

Table 10
Competition

Dependent variable	Contract improvement	Increase award	Award change	Increase length	Extension	Weak monitoring
Model	(1)	(2)	(3)	(4)	(5)	(6)
Lost connection X	0.043*** (0.014)	0.031*** (0.012)	0.003 (0.002)	0.034** (0.014)	0.279*** (0.099)	0.002 (0.002)
After X Competition	-0.076*** (0.010)	-0.058*** (0.009)	-0.007*** (0.001)	-0.062*** (0.009)	-0.342*** (0.064)	-0.006*** (0.001)
Lost connection X After	0.021*** (0.005)	0.016*** (0.004)	0.005*** (0.001)	0.020*** (0.005)	0.134*** (0.029)	0.004*** (0.001)
Competition	-0.030*** (0.010)	-0.024*** (0.008)	-0.002 (0.001)	-0.032*** (0.009)	-0.147*** (0.051)	-0.001 (0.001)
After X Competition	-0.014 (0.009)	-0.000 (0.008)	0.003 (0.002)	-0.011 (0.009)	-0.176* (0.105)	0.002 (0.002)
Lost connection X Competition						
Firm-event-region fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Event-time fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
R ²	0.034	0.03	0.056	0.035	0.05	0.053
Observations	2,182,536	2,182,536	2,182,536	2,182,536	2,182,536	2,182,536
Sample mean	0.105	0.086	0.009	0.093	0.506	0.008

This table explores contract-level competition and how political influence affects the renegotiation of procurement contracts. *Lost connection* is an indicator variable equaling one if a firm is connected to a U.S. representative or senator in a congressional district or state, respectively, where the contract is performed and this connection is lost due to the politician's death or unexpected resignation. *Competition* is an indicator variable equaling one if the contract is available for competitive bidding. Contract variables are defined in Table A.1. The sample includes all contracts for connected firms that lose a connection. The event window is six months before and after (excluding the event month) a connection is lost. All models include firm-event-region and event-time fixed effects, and an intercept term. Standard errors are reported in parentheses and clustered at the firm-event level. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

All in all, our evidence suggests that political influence plays an important role in renegotiations of both cost-plus and fixed-price contracts. A possible interpretation of these findings is that political influence partially underes

(b) Table 10: Competition

5.7 Table 11: Political activity and reliance on renegotiations and Table 12: Firm value

Read:

- Table 11 shows stronger effects for firms with high political contributions and firms that previously relied heavily on renegotiations.
- This supports the interpretation that the treatment is political influence, not a generic change in procurement conditions.
- Table 12 shows that firms experience negative abnormal returns when they lose a political connection.
- The stock-price decline is larger for firms with high past renegotiation intensity.

Interpretation: Table 11 reveals which firms use the channel most intensively. Table 12 shows that investors perceive political connections as valuable assets, and that the value is tied to the ability to renegotiate government contracts.

Economic message: Political influence has both public-finance consequences and private-firm valuation consequences.

Table 11
Political activity and reliance on renegotiations

Dependent variable	Contract improvement	Increase award	Award change	Increase length	Extension	Weak monitoring
Model	(1)	(2)	(3)	(4)	(5)	(6)
<i>A. High contributions</i>						
Lost connection X After	−0.039*** (0.014)	−0.033*** (0.012)	−0.007*** (0.002)	−0.039*** (0.013)	−0.238*** (0.084)	−0.005*** (0.001)
X High contributions						
Lost connection X After	−0.035*** (0.010)	−0.026*** (0.008)	−0.002* (0.001)	−0.024** (0.010)	−0.082 (0.051)	−0.002** (0.001)
After X High contributions	0.058*** (0.009)	0.045*** (0.008)	0.007*** (0.001)	0.051*** (0.009)	0.337*** (0.046)	0.006*** (0.001)
Firm-event-region fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Event-time fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
R ²	0.035	0.031	0.056	0.036	0.051	0.053
Observations	2,182,536	2,182,536	2,182,536	2,182,536	2,182,536	2,182,536
Sample mean	0.105	0.086	0.009	0.093	0.506	0.008
<i>B. High renegotiations</i>						
Lost connection X After	−0.058*** (0.015)	−0.045*** (0.013)	−0.008*** (0.002)	−0.054*** (0.013)	−0.345*** (0.099)	−0.007*** (0.001)
X High renegotiations						
Lost connection X After	−0.023** (0.011)	−0.018* (0.010)	−0.001 (0.001)	−0.016 (0.010)	−0.021 (0.081)	−0.001 (0.001)
After X High renegotiations	0.049*** (0.010)	0.038*** (0.008)	0.006*** (0.001)	0.047*** (0.009)	0.322*** (0.049)	0.005*** (0.001)
Firm-event-region fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Event-time fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
R ²	0.035	0.031	0.056	0.035	0.051	0.053
Observations	2,182,536	2,182,536	2,182,536	2,182,536	2,182,536	2,182,536
Sample mean	0.105	0.086	0.009	0.093	0.506	0.008

This table studies the relation between ex ante measures of reliance on contract renegotiations and the role of political influence in the renegotiation of procurement contracts. Panel A provides estimates based on *High contributions*, which is an indicator variable for above-median contributions. Panel B provides estimates based on *High renegotiations*, which is an indicator variable for above-median renegotiations in the year before a connection is lost relative to the total contracts received. All variables are defined in Table A.1. The event

Table 12
Firm value

Dependent variable	CAR[−1,1]	CAR[−1,1]	CAR[−1,3]	CAR[−1,3]
Model	(1)	(2)	(3)	(4)
<i>A. Baseline estimates</i>				
Constant	−0.00684*** (0.00032)	−0.00489*** (0.00051)	−0.01042*** (0.00033)	−0.00543*** (0.00054)
Industry fixed effects	Yes	Yes	Yes	Yes
Year fixed effects	Yes	Yes	Yes	Yes
Asset-pricing model	Market	3-factor	Market	3-factor
R ²	0.005	0.006	0.037	0.075
Observations	1,799	1,799	1,799	1,799
<i>B. Renegotiation intensity</i>				
High renegotiations	−0.00390** (0.00186)	−0.00636*** (0.00209)	−0.00404** (0.00164)	−0.00600*** (0.00162)
Constant	−0.00505*** (0.00079)	−0.00198* (0.00113)	−0.00857*** (0.00074)	−0.00267*** (0.00098)
Industry fixed effects	Yes	Yes	Yes	Yes
Year fixed effects	Yes	Yes	Yes	Yes
Asset-pricing model	Market	3-factor	Market	3-factor
R ²	0.007	0.009	0.039	0.077
Observations	1,799	1,799	1,799	1,799

This table studies the market reaction for firms whose connection to a U.S. representative or senator is lost due to death or unexpected resignation. Panel A reports the average returns for all events, and panel B explores variation by renegotiation intensity. Cumulative abnormal returns (CAR) are measured from one day before to one day after or one day before to three days after the connection is lost. Expected returns are estimated using the market or Fama-French three-factor model. *High renegotiations* is an indicator variable equaling one for above-median renegotiations in the year before a connection is lost relative to the total contracts received. All models include industry (at the Fama-French five-industry level) and year fixed effects, and an intercept term. Standard errors are reported in parentheses and clustered at the event level. ***, **, and * denote significance at the 1%, 5%,

(a) Table 11: Political activity and reliance on renegotiations

(b) Table 12: Firm value

6 Interpretive synthesis

- **Renegotiation is the hidden margin.** The paper reframes procurement from a one-shot auction problem to a dynamic contracting problem. The winning bid is only the first stage.
- **Political influence changes dynamic incentives.** If firms expect to renegotiate later, political access affects both the bid they submit and the concessions they can obtain after winning.
- **Political capital is location-specific.** Connections matter when the politician represents the location where the contract is performed, which is exactly where the politician can intervene most credibly.
- **Formal safeguards are incomplete.** Competitive bidding, fixed-price contracts, and monitoring features reduce but do not eliminate the importance of political influence.
- **Markets recognize the value of influence.** Negative stock returns after connection losses show that investors understand the value of political access for procurement-dependent firms.

7 Short summary

- The paper studies U.S. federal procurement contracts from 2001 to 2012.
- Contract renegotiations account for most contract dollars in the sample.
- Politically connected firms are more likely to renegotiate contracts favorably.
- The key identification comes from sudden deaths and unexpected resignations of connected politicians.
- Losing a connection reduces award increases, deadline extensions, weak monitoring, and overall contract improvement.
- Event-study estimates support the timing of the treatment effect.
- Connected firms appear to underbid initially, consistent with a low-bid-high-renegotiation strategy.

- Effects are stronger for powerful politicians and firms with high political activity or prior reliance on renegotiation.
- ARRA evidence shows the channel matters during fiscal stimulus.
- Firm value falls when politically connected firms lose connections, especially when they depend on renegotiations.

8 Conclusion

8.1 Core conclusion

Brogaard, Denes, and Duchin show that political influence affects government contracting through ex post renegotiations. The major allocation of procurement dollars occurs after initial awards, and politically connected firms are better able to obtain favorable changes to contract amounts, deadlines, and monitoring terms.

8.2 Economic intuition

A firm with political access can bid aggressively at the initial stage because it expects to recover value later. The government contract is therefore not simply a fixed-price agreement awarded through competition. It is a dynamic bargaining object in which connections can shift the terms after the fact.

8.3 Policy implications

The results suggest that procurement transparency should cover contract modifications, not only initial awards. Oversight focused only on the auction stage may miss the channel through which political influence most strongly affects public spending. This is especially important during stimulus programs, when the government expands procurement quickly and agencies may rely heavily on renegotiation.

8.4 What the paper does not claim

The paper does not prove that every renegotiation is inefficient or corrupt. Some renegotiations are legitimate responses to project complexity and changing needs. The claim is narrower and more powerful: political influence causally shifts the probability and terms of renegotiation in favor of connected firms.

8.5 Final takeaway

The paper's main contribution is to reveal that political influence works through the life cycle of government contracts. The initial award is only the visible start; the economically important margin is how the contract evolves after signing.